FV FUNCTION

With the future value (FV) function in Microsoft Excel, you can figure out how much your investment will be worth, assuming a certain rate of return. You can also use the function to figure out your investment's present value, which is in the future.

An annuity is a type of investment that guarantees a certain amount of income on a regular basis. When planning for long-term investments like retirement or college savings accounts, the FV function can be helpful in the planning process. In addition, it can be utilized to determine how much an annuity will be worth at some point in the future.

The FV function syntax is as follows:

=FV(rate, nper, pmt, [pv], [type])

The FV function requires you to enter the following arguments:

- **Rate** - this is the interest rate period
- **Nper** - this is the total number of the payment period
- **Pmt** - this is the payment made at each period and has to be a negative value.
- **Pv** - stands for Present Value and it is optional and represents the current value of the future payments. If you omit the **Pv**, Excel will assume it to be zero, else the **Pv** always has to be entered as a negative number.
- **type** - this value is optional and represents when payment is due.

  The value **0** indicates when the period ends, while **1** is for the start of a period.